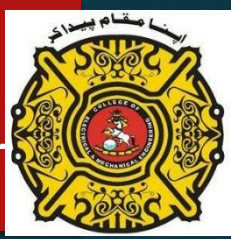




Professional Ethics



DR. MUHAMMAD ZEESHAN MIRZA

LECTURE – 7



Course Information



Course Name	Professional Ethics
Course Code	HU-222
Credit Hours	2
Email	zeeshanmirza21@hotmail.com
Visiting Hours	2-4 pm

Leadership

- 
- ▶ Leadership is a basic requirement for developing an ethical corporate culture and reinforcing ethical decision making among employees



Definition of Ethical Leadership



- ▶ Leadership is the ability or authority to guide and direct others toward a goal
- ▶ Ethical leadership creates an ethical culture
- ▶ Ethical leadership is directed by respect for ethical beliefs and values and for the dignity and rights of others
- ▶ If leaders fail to express desired ethical behaviors and goals, a corporate culture evolves on its own to reflect the values and norms of the company



Leaders Admired for Ethical Conduct



Leaders	Company	Ethical Leadership Activities
Warren Buffett	Berkshire Hathaway	• Promotes ethical conduct as a necessity of business • Shares responsibility and decision making with managers of various companies
Howard Schultz	Starbucks	• Offers healthcare to part-time workers; • Developed Create Jobs for USA program to fund small businesses in America
Tony Hsieh	Zappos	• Creates a fun work environment for employees; encourages employees to make decisions • Stresses an environment of quality customer service
Kenneth Chenault	American Express	• Used his strong work ethic to turn around the struggling company • Noted for ensuring that stranded cardholders found a way home during the September 11th attacks and approved of a \$1 million donation to the families of American Express employees lost in the tragedy
Kip Tindell	The Container Store	• Creates a corporate culture in which employees feel appreciated and motivated to perform beyond expectations • Employees are provided with better pay and more training than competing retailers



Requirements for Ethical Leadership



1. Ethical leaders have strong personal character.
2. Ethical leaders have a passion to do right.
3. Ethical leaders are proactive.
4. Ethical leaders consider all stakeholders' interests.
5. Ethical leaders are role models for the organization's values.
6. Ethical leaders are transparent and actively involved in decision making.
7. Ethical leaders take a holistic view of the firm's ethical culture.



Benefits of Ethical Leadership



- ▶ **Positive Corporate Culture** – Ethical leaders communicate and monitor an organization's values, ensuring that employees are familiar with the company's purpose and beliefs
- ▶ **Employee Satisfaction & Commitment** - Research shows that employees like to work for ethical companies and are less likely to leave ethical organizations. These factors translate into significant cost savings for the firm and serve to increase employee productivity



Benefits of Ethical Leadership



- ▶ **Competitive Advantages** – It also creates strong relationships with external stakeholders. For instance, customers are willing to pay higher prices for products from ethical companies. Consumers are more likely to do business with companies they consider to be trustworthy
- ▶ **Long-term Market Valuation** - A firm's reputation for corporate social responsibility also impacts investor decisions. Corporate social responsibility is negatively related to ethical risks in the long-term, and investors view risk as a factor when determining whether to invest in the firm. The ethical reputation of the company can therefore assure them about the short and long-term sustainability of the company



Two Approaches to Ethical Leadership



- ▶ **Compliance-based Approach** – This approach emphasize obedience to rules and regulations and sets processes in place to ensure compliance
- ▶ Such an approach discourages illegal conduct and stresses a culture of avoidance
- ▶ If those in charge of ethics are called compliance officers or risk managers, then it is highly likely the firm is more compliance-based
- ▶ Also, if those in charge of the ethics and compliance program are mostly accountants and legal professionals, the firm tends to be more compliance-based
- ▶ Some see this as achieving the bare minimum to avoid getting in trouble with the law also creates strong relationships with external stakeholders



Two Approaches to Ethical Leadership



- ▶ **Integrity-based Approach** – This approach views ethics as an opportunity to implement core values
- ▶ Leaders who adopt an integrity-based approach take responsibility for the firm's ethical culture and hold employees accountable for practicing ethical behaviors and core practices
- ▶ Integrity-based approaches usually have chief officers, human resource managers, and board member committees involved with the ethics and compliance program
- ▶ It helps the firm understand where questionable practices are occurring and where possible new ethical issues are arising



Ethical Leadership Communication



1. Have the tough conversations that you've been meaning to have, including telling people what they need (and not necessarily want) to hear.
2. Stop talking and listen more.
3. Pick up the phone or walk down the hall to actually talk with someone rather than relying on more impersonal emails.
4. Communicate bad news in the same way, with the same zest, as good news.
5. Share performance feedback with others regularly so that others know how they can improve.
6. Be purposeful and thoughtful in how you communicate.
7. Ask for feedback so you can improve your skills.
8. Work on your blind spots in your leadership abilities.



Leadership Styles & Ethical Decision Making



- ▶ Ethical leaders need both knowledge and experience to make decisions
- ▶ The most effective ethical leaders possess the ability to manage themselves and their relationships with others effectively, a skill known as **emotional intelligence**
- ▶ Emotionally intelligent leaders are skilled in self-awareness, self-control, and relationship building



Leadership Styles & Ethical Decision Making



- ▶ Because emotionally intelligent leaders exhibit self-control and self-awareness, they handle stressful situations better
- ▶ Employees tend to view leaders with high emotional intelligence as effective leaders because of their ability to motivate and make employees feel like an important part of the organization
- ▶ Six leadership styles that are based on **emotional intelligence** have been identified by Daniel Goleman



Six Leadership Styles



- ▶ **The Coercive Leader** — Demands instantaneous obedience and focuses on achievement, initiative, and self-control. Although this style can be very effective during times of **crisis** or during a **turnaround**, it otherwise creates a negative climate for organizational performance
- ▶ **The Authoritative Leader** — Considered to be one of the most effective styles, **inspires** employees to follow a **vision**, facilitates change, and creates a strongly positive performance climate



Six Leadership Styles



- ▶ **The Affiliative Leader** — Values people, their emotions, and their needs and relies on **friendship** and **trust** to promote flexibility, innovation, and risk taking
- ▶ **The Democratic Leader** — Relies on **participation** and **teamwork** to reach collaborative decisions. This style focuses on communication and creates a positive climate for achieving results



Six Leadership Styles



- ▶ **The Pacesetter Leader** — Can create a **negative climate** because of the high standards that he or she sets. This style works best for attaining **quick results** from highly motivated individuals who value achievement and take the initiative
- ▶ **The Coaching Leader** — Builds a positive climate by developing skills to foster **long-term success**, **delegating responsibility**, and skillfully issuing challenging assignments

Reference book for this Lecture: **BUSINESS ETHICS** by **O. C. Ferrell, John Fraedrich, & Linda Ferrell**



A Friendly Suggestion





Assignment-2





Assignment-2

- ▶ Question-1: Defend whether going back in time and changing the past to acquire infinity stones was an ethical way of solving the problem? (6)
- ▶ Question-2: Summarize whose ethical responsibility is to take the blame for the death of Scarlett Johansson known as Natasha Romanoff or Black Widow in the movie? (4)
- ▶ Submission Deadline: **6th May 2022**
- ▶ This assignment to be submitted by every group to CR
- ▶ The assignment should not exceed one page of MS Word
- ▶ **CLO-2:PLO-8**

THANK YOU.....

